AMFI

ASSOCIATION OF MUTUAL FUNDS IN INDIA

135/ BP/ 118/ 2024-25 January 31, 2025

To,

All AMFI Members

Dear Members,

AMFI Best Practice Guidelines Circular No.118 /2024-25

Sub: Acceptance of financial transactions through email in respect of non-individual investors

1. In the wake of Covid-19 pandemic outbreak, the government and municipal authorities had ordered private offices to implement social-distancing measures such as instructing their staff to work from home and keeping their offices closed to avoid and discourage assembling of people in offices.

2. Considering the exceptional situation prevailing at the time, AMFI had advised its members to keep their collection centres / branch offices / official points of acceptance closed with effect from 23- March-2020 and allow only online transactions through various electronic modes, such as mutual fund websites /web-portals / various digital platforms /apps or virtual channels etc. till the situation comes under control and until social distancing advisory is withdrawn by the authorities. Although things came back to normal completely by 2021, many organisations had continued to function under hybrid mode allowing their work force to work from home for certain days in a week / month.

3. It was brought to the notice of AMFI that many corporate investors, especially from the Information Technology industry are still continuing to work in hybrid mode, thus finding it difficult to provide duly signed transaction slips for mutual fund transactions, and have been requesting the AMCs to accept financial transactions sent electronically via emails from the registered email ID. of the entity.

Naman Corporate Link, C Wing, 7th Floor, Plot Nos. C-31 / C-32, G Block, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051, INDIA
Tel.: +91 (022) 4334 6700, Fax : +91 (022) 4334 6712/22, Website : http://www.amfiindia.com, CIN : U65991MH1995NPL092062

4. The matter was referred to and examined by AMFI's Operations & Compliance Committee, vis-à-vis the legal validity of accepting / processing financial transactions in mutual funds received via email from non-individual entities as well as operational risks associated with processing such requests. The Committee has noted that while transactions routed through email are legally valid, to ensure that such email instructions are binding on the non-individual investors, the Committee has recommended standard guidelines as detailed in the Annexure hereto, which have been duly approved by the Board of AMFI at the Board meeting held on Jan 22, 2025 to be to be uniformly followed / implemented by all AMCs as AMFI Best Practice Guidelines.

5. Accordingly, Members are requested to take note of the guidelines given above for uniform implementation latest by 01-Mar-2025. These guidelines provide the minimum standards to be implemented by all AMCs. AMCs may implement more stringent controls, based on their internal policies.

6. Members are requested to place this Best Practice Guidelines Circular before their Board of Trustees and the Board of AMC for information.

With best regards,

Venkat N. Chalasani
Chief Executive

AMFI

Annexure

(1) Guidelines for acceptance of financial transactions received through email

a) For acceptance of financial transactions in respect of non-individual investors routed through email, the AMC shall necessarily obtain from the entity a copy of the board resolution or an authority letter on the entity's letter head, granting appropriate authority to the designated officials of the entity. The board resolution/ authority letter shall explicitly mention the following:

   (i) List of approved authorized officials who are authorized to transact on behalf of non-individual investors along with their designation and email IDs.

   (ii) An undertaking that the instructions for any financial transactions sent by email by the authorized officials shall be binding upon the entity as if it were a written agreement.

b) In case the document is executed electronically with a valid Digital Signature Certificate **(DSC)** or through Aadhaar based e-signature by the authorized official/s, the same shall be considered as valid and acceptable, and shall be binding on the non-individual investor even if the transaction request is not received from the registered email id. of the authorized official/s. However, in such cases, the domain name of the email ID should be from the same organization's official domain name.

c) In addition to the acceptance of financial transactions via email, scanned copy of duly signed transaction form/request letter bearing wet signatures of the authorized signatories of the entity, received from some other official / employee of the non-individual investor may also be accepted, and shall be binding on the non-individual investor provided –

   (i) The email is also CC'd (copied) to the registered email ID of the authorized official / signatory of the non-individual unitholder; and

   (ii) the domain name of the email ID of the sender of the email is from the same organization's official domain name.

d) No change in bank details or addition of bank account of the entity or any non-financial transactions shall be allowed / accepted via email.

e) Request for change in bank details or addition of bank account of the entity shall be submitted by the non-individual investor using the prescribed service request form duly signed by the entity's authorized signatories.

f) Further, any change in the registered email address / contact details of the entity shall be accepted only through a physical letter (including scan copy thereof) with wet signature of the designated authorized officials of the entity, duly supported by copy of the board resolutions/authority letter on the entity's letter head.

g) In addition to the acceptance of financial transactions via email, scanned copies of signed transaction form/request letter bearing wet signatures of the authorized signatories of the entity, received from the registered mutual fund distributor of the entity or a third party duly authorized by the non-individual unitholder may also be accepted subject to fulfillment of the following requirements:

(i) Authorization letter from the non-individual unitholder authorizing the MFD/person to send the scanned copies of signed transaction form/request letter on behalf the non-individual investor.

(ii) In such cases, the non-individual unitholder's registered email ID shall also be copied in the email sent by the MFD/person sending the scanned copies of the duly signed transaction form/request letter.

(2) Disclosure of the Terms and Conditions for availing the facility to transact through electronic mail in scheme offer documents –

AMCs shall make appropriate disclosures of the terms and conditions for acceptance of / processing of financial transactions routed via emails in their scheme offer documents, which shall include:

(i) The risks involved in transacting through email mode and that the investor should be aware of the risks involved including those arising out of transmission of electronic mails.

(ii) Disclosure of limitation of liability of the AMC /RTA in case the transaction sent or purported to be sent by the entity is not received by the AMC/ RTA due to any reason and hence not processed.

(iii) Necessary safeguards / measures to ensure the security of email communication shall be taken by the entity.

(iv) The entity availing the facility for submitting financial transactions via email shall retain records of such transactions in line with the applicable laws / regulations.

(v) Appropriate procedure for addition/deletion in the name of authorized signatories of the entity along with the manner of notification of the same to the AMC.

(vi) Appropriate authorization from the non-individual investor to the AMC / RTA to accept and act on any email transmission received from non-individual investor including a registered MF distributor/third party authorized by the investor to send a scanned copy of the transaction request on behalf of such non-individual investor.

(vii) Appropriate disclosure pertaining to security procedures adopted by the recipient/AMC to enable confirmation of such transactions through email.

(viii) Electronic Time stamping mechanisms and audit trail for email transactions.

(ix) Additionally, the scheme offer documents shall also specify the below requirements:

(a) Any change in the registered email id/contact details shall be accepted only from the designated officials authorized to notify such changes vide board resolutions/authority letter. Further, such change request shall be submitted through physical request letter (or a scanned copy thereof with wet signature of the designated authorized officials) only.

(b) No change in /addition to the bank mandate shall be allowed via email. Change in bank details or addition of bank account of the entity shall be permitted only via the prescribed service request form duly signed by the entity's authorized signatories with wet signature of the designated authorized officials.

(c) Any change in the registered email address / contact details of the entity shall be accepted only through a physical letter (including scan copy thereof) with wet signature of the designated authorized officials of the entity, duly supported by copy of the board resolutions/authority letter on the entity's letter head

(d) Further, in case the document is executed electronically with a valid DSC or through Aadhaar based e-signatures of the authorized official/s, shall be considered valid, and the same shall be binding on the non-individual investor even if the same is not received from the registered email id of authorized officials. However, the domain name of the email ID through which such email is received should be the same as the non-individual investor's official domain name.

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